

Executive Summary — Amazon Marketplace Fulfilment & Revenue Realization Analysis

Order & Revenue Realization

- In **Q2 2022**, customer demand was strong, with **total revenue reaching 83.2M INR**.
- However, only **22.41% of total revenue comes from delivered orders**, while **62.12% of total revenue is still tied to in progress orders**, creating a large gap between recorded and realized revenue.
- About **69.6% of total revenue is unrealized** in Amazon-fulfilled orders.
- This suggests that the main problem is **operational execution**, such as cancellations and delivery delays, rather than a lack of customer demand.

Promotion & Value Creation

- Around **61.02% of orders used promotions**, accounting for **64.6% of total revenue**, indicating that discounts play a major role in driving sales.
- However, the increase in **average order value (AOV)** from promotions is small (**1.17× compared to non-promotional AOV**), meaning promotions mainly increase conversion rather than basket size.
- Promotions appear to be widely used as a **sales-driving mechanism**, but their impact on basket value is limited.

Fulfilment & Operational Risk

- Amazon fulfilment appears to be the **main bottleneck in converting orders into revenue**, with delivery delays causing a large portion of unrealized revenue.
- **Merchant-fulfilled orders perform much better**, with a **73.68% delivery rate**, while Amazon-fulfilled orders show severe delays, with **87.47% of revenue stuck**.
- Revenue realization also shows a **declining monthly trend**, which increases short-term cash-flow risk.
- Delays in Amazon fulfilment create the **largest financial risk**, as they slow down the conversion of recorded revenue into realized revenue.

Recommended Actions

- **Prioritize resolving Amazon fulfilment delays** before expanding demand or increasing sales.
- **Remove the bottom 12.6% of SKUs** (low-rotation and dead products) to reduce catalogue size and lower operational costs.
- **Refocus promotions on key products and selected categories** to increase value rather than only boosting sales volume.
- Treat **fulfilment performance as a key driver of cash flow**, not only a logistics activity.
- Implement strategies to **reduce the cancellation rate (13.80%)**, which could recover about **2.07% additional revenue** under a moderate recovery scenario.

Executive Takeaway

- The main challenge for this business is **not a lack of demand but a significant gap in revenue realization** caused by fulfilment delays and cancellations. Improving fulfilment performance and reducing cancellations can **unlock a large portion of existing revenue and strengthen the company's financial performance**.